

accumulation and retirement including some bestselling authors, which inspired me to re-plan my goals, and start tracking them and use the "real" power of compounding.

Compounding unleashes its power with time and therefore the earlier you start, it gives you an "unfair" advantage over people like me who took 15 years to understand this fundamental principle of money. Therefore, I put "start early" as a golden rule; even before the rule of compounding power. Both these rules work hand in hand to give you an explosion of wealth which you cannot even imagine in the first few years of your savings. Figure 5.1 shows an example of how "starting early" and "the power of compounding" work hand in hand to give you unprecedented incomes.

To thrust upon the idea of "Start Early" and also as a give back to our society, I have been taking seminars for school children trying to make them appreciate the true power of compounding and the benefits of starting early. Every time, I connect the simplicity of these life long concepts with the reality of our life, most children feel amazed at the power in application of these concepts. Let us see this by a few more examples.

Assume you are targeting a corpus wealth of ₹5,00,000 by the age 65 and all your investments earn an average interest of 10% compounded annually. Let us see how much you have to save annually to reach this target.

Starting Age Annual Savings needed (Rupees)

30	1,844
35	3,040
40	5,084
45	8,730
50	15,737
55	31,372
60	81,899

Fig 5.1: *Starting early and the power of compounding*